FUEL WATCH

POLESTAR INSIGHTS

REPORTING PERIOD: 19 MAY 2026 - 25 MAY 2026

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EXECUTIVE SUMMARY

Fuel risk this week is mainly about cost and continuity rather than a single dramatic event. The pressure came from shortage, price increase and transport disruption. Iran saw the most activity, with more reported from India and Pakistan. Operating pressure right now reads as high.

Cost indicators are holding above easy-budget levels, and the incident picture adds operational stress - shortages, forecourt disruption, subsidy moves and route pressure where they appear - rather than relief.

For business users, the headline is straightforward: protect fuel-dependent operations from short-notice price or availability shocks. That means live attention to fuel stock cover, generator runtime, road transport exposure and supplier resilience while this picture holds.

FAST FACTS

BRENT CRUDE	WTI CRUDE	JET FUEL
73.38 USD/bbl	**70.06 USD/bbl**	**2.712 USD/gal**
-4.8% 7d	-4.3% 7d	-4.7% 7d
ICE Brent front-month (Yahoo Finance)	NYMEX WTI front-month (Yahoo Finance)	U.S. Gulf Coast kerosene-type · EIA / FRED
As of 30 Jun 2026	As of 30 Jun 2026	As of 22 Jun 2026

JET FUEL PRICE TRAJECTORY

Jet fuel latest available 22 Jun 2026 (weekly EIA U.S. Gulf Coast series); Brent and WTI run to 30 Jun 2026 (the period end).

MARKET READ

Brent is sitting around 73.38 USD/bbl and WTI around 70.06 USD/bbl, which puts the crude complex in steady territory rather than a transient spike. The jet fuel series is easing over the period, with the latest figure at 2.712 USD/gal versus 2.974 at the start (-8.8%).

Taken together, this points to sustained cost pressure rather than a one-off move. Fuel-linked costs rarely stay isolated; they feed into freight rates, generator running costs, staff movement and supplier pricing - so treat these market indicators as the cost floor for the decisions that follow.

SITUATION

Fuel cost is holding above easy-budget levels while availability and policy pressure remain live downstream. This matters because cost pressure and availability pressure are showing up together right now, which is when contract economics and operational continuity stop being separate concerns. Iran is the country carrying the most weight.

WHAT HAPPENED

Reporting was led by shortage, price increase and transport disruption concentrated on Iran, with secondary reporting from India and Pakistan. Operating pressure right now reads as high.

OPERATIONAL READ

The main themes right now are chokepoint pressure and tanker-route disruption; shortages, rationing and forecourt disruption; pump and surcharge pricing pressure. Dependent fuel movement is forced onto longer, costlier routes even when the underlying barrels are still available.

Watch for fresh advisories, vessel reroutes and any naval movement that signals escalation. Watch for rationing rules, allocation cuts to commercial users and convoy or queue management announcements. India, Iran, Pakistan carry the most activity this week.

REGIONAL HIGHLIGHTS

India is the clearest pressure point right now. Recent activity points to shortages, rationing and forecourt disruption. Pump-price moves, forecourt disruption and transport cost are where this lands first; local movement and distribution economics absorb the shock before the published headline catches up. Watch for state-level fuel-tax changes, fresh forecourt or rationing reports and any operator-side surcharge announcements on road and rail.

Iran is a secondary but credible concern. Recent activity points to chokepoint pressure and tanker-route disruption. Route pressure on Hormuz, Bab-el-Mandeb or the Red Sea feeds straight into bunker cost, transit time and war-risk premium. Watch for fresh advisories, vessel reroutes and any naval movement that signals escalation.

Pakistan adds further weight to the picture. Recent activity points to chokepoint pressure and tanker-route disruption. Availability, pricing and power resilience are the main pressure points here; fuel for generators, freight and field operations is where it bites first, well before it shows up in the wider economy. Watch for load-shedding patterns, depot-stock advisories and any government action on fuel pricing or commercial allocation.

PRODUCER AND BUYER ACTIONS

ACTOR	CATEGORY	ACTION	OPERATIONAL READ
ADNOC	Producer action	ADNOC CEO Says Hormuz Oil Flows May Not Fully Recover Before 2027 21 May 2026	Supply-side move with read-through to bunker, jet and downstream pricing if the action sustains.
easyJet	Buyer action	Jet fuel shortage: All the airlines cancelling flights as easyJet and Jet2 issue updates 22 May 2026	Aviation demand response: carriers trimming capacity signal jet-fuel cost or availability stress feeding straight into route economics.
Government / policy	Government / policy action	Australian government plans for 'worst-case scenario' retail fuel rationing, documents reveal 22 May 2026	Rationing or allocation controls confirm a physical shortage; commercial offtake is restricted before pump prices fully adjust.
Reliance	Government / policy action	Parliamentary caucus warns against using fuel levy as revenue measure 22 May 2026	Policy reset: review pump-price exposure and contract pass-through clauses before the next billing cycle.
Government / policy	Government / policy action	Hub administration fixes Iranian petrol price at Rs250 per litre 21 May 2026	Policy intervention resets pump-price and surcharge exposure for the next contract cycle.
ADNOC	Infrastructure / routing action	New UAE Pipeline Bypassing Hormuz Now 50% Complete, ADNOC CEO Says 20 May 2026	Logistics rerouting raises bunker and transit cost on dependent fuel flows.
Market	Market / supply signal	Pacific leaders warned of 'prolonged' fuel crisis as new plan endorsed - Australian Broadcasting Corporation 22 May 2026	Supply resuming eases the local shortage; pump-price and surcharge pressure should soften as availability normalises.
Market	Market / supply signal	Jet fuel fears recede, but air cargo settles into a higher-cost era 20 May 2026	Supply resuming eases the local shortage; pump-price and surcharge pressure should soften as availability normalises.

WHAT MATTERS

Elevated crude and a jet fuel series that is not retreating tell the cost side of the story: fuel-linked invoices stay heavy. The incident picture then tells the availability side: shortages, rationing and route pressure are the points where price stops being the only problem and physical access becomes the issue. Exposure to Iran is the live pressure point for fleet, generator and field operations.

Where the two reinforce each other - high prices meeting tight supply or chokepoint disruption - the operational impact compounds. Freight rates lift, surcharge clauses fire, generator runtime decisions get made on tighter stocks, and supplier conversations turn into renegotiations rather than confirmations. That is the picture worth planning against now.

IMPLICATIONS FOR BUSINESS

- Revisit contract pricing on bulk fuel and surcharge pass-through clauses in freight and logistics agreements before the next billing cycle reprices them.
- Forward-cover the bulk and aviation fuel lines you depend on rather than waiting for the spot move to be confirmed.
- Check on-site fuel stock cover and generator runtime assumptions, and pull commercial-allocation conversations forward with suppliers.
- Agree escalation triggers in advance - queues, allocation cuts, station closures - so mitigations fire automatically rather than after the fact.

WATCH NEXT

- Subsidy or levy decisions - a single gazette notice can reset pump price and contract economics overnight.
- Rationing or forecourt disruption - queue formation, allocation cuts or station closures are the fastest operational tells.
- Refinery outages or force-majeure declarations - these feed into crack spreads and downstream pricing within days.
- Tanker and route disruption - fresh Gulf, Hormuz or Red Sea advisories, naval movement or vessel reroutes shift war-risk premium and transit time.
- Generator fuel availability - diesel and LPG stock cover at high-fuel-use sites is the continuity tell when forecourts tighten.

POLESTAR VIEW

Fuel Watch is flagging a cost-and-continuity risk right now, not simply a rise in fuel headlines. The market indicators show elevated fuel costs holding rather than easing, while the incident picture shows operational stress around shortages, route pressure and policy intervention. For business users, the priority is to protect movement, backup power and fuel-dependent operations from short-notice price or availability shocks. Iran is the clearest country pressure point, with the rest of the picture filled in by India and Pakistan.

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